

Risk Tolerance Rules

Objective

Define acceptable risk exposure levels for residential mortgage lending.

Credit Risk Parameters

- Acceptable credit score range: 620–850.
- Loans with scores between 620–659 require manual underwriting review.

Loan-to-Value Limits

- Owner occupied primary residence: up to 97% LTV allowed.
- Second homes: up to 90% LTV.

Compensating Factors

- Strong liquid reserves.
- Credit score above 720.
- Stable employment exceeding 5 years.

High Risk Scenarios

- Recent bankruptcy within 2 years.
- DTI above 50%.

These require executive credit committee review.